

Of course, the other side of the coin is that little expenses add up, too. Time is our friend. And also our enemy. Whatever you gain from higher returns, you lose if you allow your costs—such as management fees—to rise. That’s why we need to be fanatical cost controllers, as well as fanatical increment-chasing investors.

You are not likely to beat the market in the short run. We accept that as a given. Most investors shouldn’t even try. They’ll only be carried into fads and overpriced Wall Street favorites.

And most investors don’t have the time to benefit from long-term trends. But we do. And since we can compound our results over a long time, even if the improvement is only marginal, it is still well worthwhile.

CAPITAL GAINS, NOT INCOME

Even if you are investing for only 20 years, you should beware of the standard advice. It would have you putting your money into even more bonds and other income investments 10 years before that. So that’s roughly an entire generation stuck in supposedly “safe” investments. Your grandchildren will have been born and started their own families over that kind of time span.

That’s a long time to be parking your money in low-return investments. If you’re planning to pass your money on to the next generation, they’ll be getting a lot less as a result.

Let’s assume for a moment that your investment strategy ends up making 15 percent per year on average over time, before taxes, but after costs. This is not a target or a prediction; it’s just an example (provided to us by our chief strategist, Robert Marstrand). Profits are split 50-50 between income (dividends) and capital gains. Income is taxed at 40 percent, and capital gains are taxed at 20 percent. So the blended tax rate is 30 percent.

In this case, taxed returns would be 10.5 percent per year. Over 30 years, with compounding (profits on the profits), our money would multiply 20 times, or up 1,899 percent. If the profits grew without tax—for example, in a pension account or if you are a tax exile—the money would multiply over 66 times, or up 6,521 percent. (The difference between these two results is a